

Rules:

Market Crash Predicted (Y=1):

High Volatility ($VIX > 30$):

- Stocks: 10%
- Bonds: 60%
- Gold: 30%
- Rationale: During high volatility, stocks are more prone to significant losses. Bonds and gold provide stability and hedging.

Moderate Volatility ($VIX \leq 30$):

- Stocks: 20%
- Bonds: 50%
- Gold: 30%
- Rationale: While still cautious, a slightly higher allocation to stocks takes advantage of potential rebounds.

No Market Crash Predicted (Y=0):

Low Bond Yields ($USGG3M < 2$):

- Stocks: 70%
- Bonds: 20%
- Gold: 10%
- Rationale: With low bond yields, stocks become the preferred asset class for growth, and gold provides minimal hedging.

Moderate Bond Yields ($USGG3M \geq 2$):

- Stocks: 60%
- Bonds: 30%
- Gold: 10%
- Rationale: A balanced approach to benefit from both stock growth and stable bond returns.